

- Individuals or groups submitting coupons using fake store fronts and multiple business names.
- Legitimate retailers “padding” their own submissions of coupons, redeeming coupons as having gone through their own tills without actually having sold those items.
- Coupon brokers who steal, buy, and sell coupons to make money.
- Coupon rings or scams, involving counterfeit coupons.

The widespread fraudulent redemption of that one detergent coupon forced major companies to re-evaluate coupon production. They began using technology that consecutively numbered each coupon as it was printed so retailers submitting batches with too many consecutive numbers could be added to a “coupon watch” list by marketers.

The coupon watch system has been instrumental in many indictments since then. Federal investigators have teamed up with postal inspectors to uncover coupon rings and fraud. In 1986, a Miami-based ring was uncovered that had bilked approximately \$186 million from companies nationwide. A bogus bug spray coupon was at the center of the SWAT team bust. When approximately fifty South Florida grocery store operators showed up at Sheraton River House near the Miami International Airport, they expected to collect money for coupons they claimed to have cashed for customers. Instead, they were greeted by one hundred law enforcement officials. In a *Sun Sentinel* article about the sting, Miami chief postal inspector Mark Grey claimed that members of the ring either purchased or stole tens of thousands of coupons and then shipped them to clearinghouses on behalf of grocery retailers.